

House Amendment to
Senate File 2453

S-5149

1 Amend Senate File 2453, as amended, passed, and reprinted by
2 the Senate, as follows:

3 1. By striking page 1, line 32, through page 2, line 6, and
4 inserting:

5 <1. "*Endowment assets*" means all unrestricted pooled,
6 long-term investment assets held by or for the benefit of
7 an institution, including foundation-managed endowments,
8 quasi-endowments, and long-term investment pools, as such
9 assets are reported in the foundation's audited financial
10 statements. "*Endowment assets*" does not include assets not
11 treated as endowment funds under applicable fiduciary and
12 accounting standards.

13 2. "*Innovation fund*" means the same as defined in section
14 15E.52.

15 3. "*Institution*" means a regents institution specified in
16 section 262.7, subsections 1 through 3.>

17 2. Page 2, by striking lines 8 through 29 and inserting:

18 <1. By July 1, 2027, each foundation affiliated with an
19 institution shall ensure that no less than one percent of its
20 total endowment assets are invested in one or more innovation
21 funds. The one percent allocation shall be calculated based on
22 the average quarterly market value of endowment assets for the
23 most recently completed fiscal year.

24 2. A foundation affiliated with an institution may
25 determine which innovation funds to invest in, the timing of
26 such investments, and the structure of investment commitments,
27 provided the foundation remains responsible for compliance with
28 this chapter.

29 3. A foundation affiliated with an institution may
30 implement investments required under this chapter through
31 direct commitments, reallocation of existing assets, or rolling
32 commitments as capital is called, subject to compliance with
33 subsection 1. If the percentage of allocation falls below the
34 amount required by subsection 1 after that date, the foundation
35 shall increase its investment in one or more innovation funds

1 as provided in this chapter as necessary in order to meet the
2 required percentage of allocation.>

3 3. By striking page 2, line 33, through page 3, line 14, and
4 inserting:

5 <Sec. _____. NEW SECTION. 262C.4 Waiver.

6 1. A foundation board may grant a foundation a one-year
7 waiver from the requirements of this chapter if adequate
8 innovation fund capacity is not available or market conditions
9 would materially impair prudent investment.

10 2. A foundation board shall not grant a waiver under this
11 section unless the foundation submits an explanation for its
12 waiver request and a plan for coming into compliance with the
13 requirements of this chapter in writing to the state board of
14 regents and provides a copy to the foundation board.

15 3. If a foundation is granted two consecutive waivers by a
16 foundation board, the foundation shall submit written notice
17 to that effect to the state board of regents when the second
18 consecutive waiver is granted. The state board shall provide
19 such notice in a report to the general assembly.>

20 4. Page 3, line 17, by striking <board> and inserting <state
21 board of regents>

22 5. Page 3, by striking lines 21 through 24.

23 6. Page 3, line 25, before <board> by inserting <state>

24 7. Page 4, lines 4 and 5, by striking <an institution> and
25 inserting <a foundation>

26 8. Page 4, line 6, by striking <the board> and inserting
27 <each foundation>

28 9. Page 4, by striking lines 17 and 18 and inserting:

29 <Sec. _____. EFFECTIVE DATE. This Act takes effect December
30 31, 2026.>

31 10. By renumbering as necessary.